

in at least two other deals: one with the European Free Trade Association—the four-nation bloc of Iceland, Liechtenstein, Norway and Switzerland—and an interim trade pact with Canada. For a post-Brexit UK, meanwhile, these talks represent a chance to access newer markets. It has signed 71 trade deals since leaving the European Union in 2020.

But it hasn't been all smooth sailing. For India, protecting its domestic industry remains a priority, especially given the focus on Make in India, but at the same time it hopes to become a bigger exporter to the UK.

Being amongst the largest service exporters to the UK, India has also sought easier immigration rules for skilled professionals from the country in sectors like IT and healthcare, and for students. In turn, the UK is hoping that the trade agreement will give its products like whisky and premium automobiles better access to the Indian market with lower tariffs.

There appears to be broad consensus on issues relating to automobiles and whisky, though the issue of reducing duties on these products remains to be fine-tuned. India is keen on ensuring that duty cuts for British whisky do not impact its domestic industry. Similarly, the tariff on auto imports from the UK would be reduced in such a way that it would not impact the local industry.

Dairy is understood to have been kept out of tariff negotiations as it would impact the domestic industry and, most importantly, farmers. Besides, India has also stressed the need to follow data localisation norms and ensure that data is stored locally.

There are other contentious issues as well, like the one on rules of origin, which are the basis for

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There has been broad agreement on 19 of the 26 chapters that are part of the pact. Here are some key talking points:



ALCOHOL

Broad consensus on lower tariffs for scotch whisky from the UK



AUTOMOBILES

Tariff to be lowered in a manner so as to not hit the domestic industry



RULES OF ORIGIN

Seen to be a sticky point with procedures and rules under discussion



DAIRY

Likely to be kept out of the trade deal

extending duty concessions. Each trade pact contains a set of rules of origin that prescribe the norms to be fulfilled to meet the 'originating status' criteria in the exporting country. This is to ensure that countries with a trade agreement do not dump goods from a third country after just affixing a label on them.

Officials remain confident that the talks will be concluded before year's end, but they do point out that "nothing is agreed upon until everything is agreed upon".

An early conclusion of the FTA is expected to give a fillip to bilateral trade. India was the UK's 12th largest trading partner for the four quarters till March end, accounting for 2.1 per cent of total UK trade, according to the UK's Department of Business and Trade. Bilateral trade between India and the UK increased to \$20.36 billion in 2022-23 from \$17.5 billion in 2021-22.

In the first quarter of the current fiscal, India's exports to the UK grew 21.24 per cent year-on-year to \$3.3 billion and imports fell by 33.5 per cent to \$1.5 billion. This was led primarily by exports of petroleum products, refined oil, telecom equipment, ready-made garments, metals and electric machinery. The top imports from the UK were iron and steel, cosmetics, alcoholic beverages and aluminium products.

Biswajit Dhar, a trade expert and former professor at the Jawaharlal Nehru University (JNU) in New Delhi, notes that the trade deal will have positives for both India and the UK, but issues like market access and tariff on products like automobiles still have to be agreed upon. Rules of origin is another issue that has to be finalised, he says, adding that it is a sticky point.

Surendar Singh, Associate Professor at the New Delhi-based